

2.2 Financial planning

Subject content	What students need to learn:
2.2.1 Sales forecasting	a) Purpose of sales forecasts b) Factors affecting sales forecasts: - o consumer trends - o economic variables - o actions of competitors c) Difficulties of sales forecasting
2.2.2 Sales, revenue and costs	a) Calculation of sales volume and sales revenue b) Calculation of fixed and variable costs
2.2.3 Break-even	a) Contribution: selling price – variable cost per unit b) Break-even point: o $\text{total fixed costs} + \text{total variable costs} = \text{total revenue}$ c) Using contribution to calculate the break-even point d) Margin of safety e) Interpretation of break-even charts f) Limitations of break-even analysis
2.2.4 Budgets	a) Purpose of budgets b) Types of budget: - o historical figures - o zero based c) Variance analysis d) Difficulties of budgeting